

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **China's DeepSeek** exploited untrammelled engineering talent, clever programming shortcuts and a loophole in U.S. export controls to shock the world with its artificial-intelligence programs. **A1, A4-5**
- ◆ **The innovator behind** DeepSeek's breakthrough is a math whiz who drew inspiration from Jim Simons, the quant who was using machine-learning techniques in the 1980s. **A5**
- ◆ **Tech stocks recovered** their footing after Monday's selloff tied to AI, with the Nasdaq rising 2% to lead U.S. index gains. The S&P 500 and Dow added 0.9% and 0.3%, respectively. **B12**
- ◆ **The Fed was expected** to hold its benchmark interest rate steady at its two-day meeting that concludes Wednesday, as Trump's tariff intentions cloud the central bank's outlook. **A2**
- ◆ **General Motors'** \$4 billion restructuring of its struggling operations in China resulted in a fourth-quarter loss of \$2.9 billion. **B1**
- ◆ **Starbucks said** business continued to slide at cafes and its profit fell in the most-recent quarter, though executives were upbeat about a turnaround. **B1**
- ◆ **Smithfield returned** to the U.S. stock market after more than a decade under Chinese ownership, seeing its shares fall 1.3% on their first day of trading. **B1**
- ◆ **Shares of JetBlue lost** a quarter of their value after the airline offered tepid guidance for the first quarter. **B3**
- ◆ **LVMH posted** fourth-quarter sales in excess of analysts' forecasts as the luxury-goods industry strives to buck months of sluggish demand. **B3**

World-Wide

- ◆ **A federal judge** temporarily blocked a sweeping White House order that sought to pause billions of dollars in federal grants, loans and other financial-assistance programs, a directive that created chaos as states struggled to access funding portals from the federal government. **A1**
- ◆ **The administration** pulled back from its order to pause nearly all foreign aid, and will now exempt "core life saving programs" that involve medicine, medical services, food and shelter, according to a memo from Rubio. **A6**
- ◆ **Trump signed** an executive order that would restrict access to treatments that include puberty blockers and hormones for transgender children and teens. **A3**
- ◆ **The White House gave** federal workers until Feb. 6 to decide whether to return to the office full time or resign and get paid for the next eight months. **A3**
- ◆ **Colombian nationals** deported from the U.S. were repatriated aboard Colombian government jets and touched down complaining of their treatment by American authorities. **A1**
- ◆ **Drugmakers raised** the list prices of more than 800 prescription drugs for blood pressure, cancer and other conditions by a median 4% at the start of this year. **A3**
- ◆ **Trump repeated his** proposal to relocate Palestinians from Gaza to Jordan and Egypt, expanding on an idea rejected by the Arab states that would represent a significant shift in U.S. policy. **A7**

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Ancient City Eyes Revival After War



MANU BRABO FOR WSJ

RUINS OF TIME AND MAN: Syrians are talking of rebuilding the structures of the ancient city of Palmyra now that 14 years of civil war are over. The landmark's Roman Theatre and other architectural and artistic treasures were deliberately wrecked by Islamic State. **A8**

Judge Pauses Trump Freeze On Aid After It Sparks Chaos

WASHINGTON—A judge temporarily blocked implementation of a sweeping White House effort to pause potentially trillions of dollars in fed-

By Ken Thomas, Kristina Peterson, Liz Essley Whyte and Patience Haggin

eral grants, loans and other financial-assistance programs, a directive that created chaos as states struggled to access funding portals dealing with

Medicaid, emergency aid and low-income education and nutrition services.

Minutes before the White House order was set to take effect, U.S. District Judge Loren AliKhan in Washington, D.C., temporarily blocked federal agencies from taking steps to implement it. Ruling from the bench at the end of a hastily arranged court hearing Tuesday, AliKhan said she was issuing a brief stay that would "preserve the status quo" until she can hold an oral argument, which is

set for Monday morning.

The order came in response to a lawsuit filed on Tuesday by organizations who represent grant recipients.

Earlier in the day, federal, state and local government officials sought to assess the impact of the order issued a night earlier by the White House Office of Management and Budget, which set off a

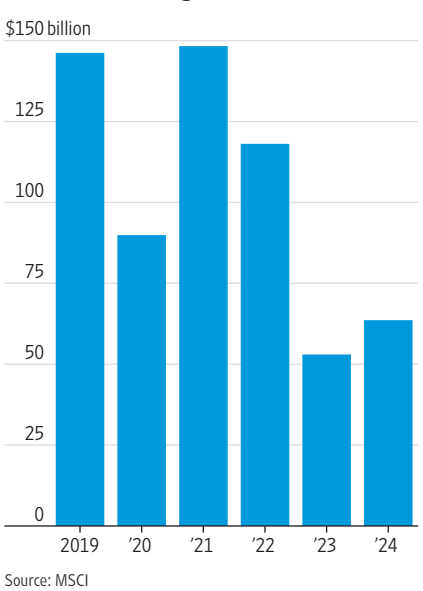
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◆ **White House tries to flip budget script.....** A6

Investors Return To Office

After five years of turmoil in the beleaguered U.S. office market, investors are coming back, buying premium-quality buildings burdened with debt or scooping up half-empty towers for pennies on the dollar. Brokers expect sales activity to continue to accelerate in 2025. **B1**

U.S. office-building sales



Strained Glass? France Frets Over Notre Dame's New Windows

Macron's plan to immortalize himself in Paris landmark is getting panned

By NOEMIE BISSEBIE

PARIS—American presidents have libraries to preserve their legacy. The French prefer glass.

François Mitterrand gave the Louvre its distinctive glass pyramid; Georges Pompidou built an art center with an unusual glass-tube escalator crawling up its outside; Jacques Chirac opened a Paris art museum with an enormous glass facade.

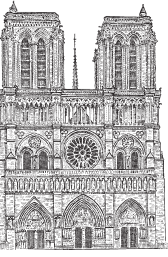
President Emmanuel Macron's vision to immortalize himself in glass? Replace some windows in the recently reopened Notre Dame cathedral in Paris. The custodians of French architecture have responded with a resounding

"non!"

His aides say Macron wants to remind future generations of the 2019 blaze that consumed the medieval-era cathedral—and his part leading its restoration. He has approved contemporary designs in yellow, pink and green stained glass for the replacement windows.

The resistance is multilayered. Art historians and architects say the 19th-century windows Macron wants to replace are protected by French law and that changing them out would destroy the harmony of the cathedral's design.

The backlash is also a reflection of Macron's sinking popularity in France, where



Glass warfare

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DeepSeek Used Bevy of Tactics To Outfox U.S.

AI startup relied on inexperienced engineers, loophole in export controls

By STU WOO AND RAFFAELE HUANG

SINGAPORE—Take a team of young Chinese engineers, hired by a boss with disdain for experience. Add some clever programming shortcuts, and a loophole in U.S. rules that allowed them to get advanced chips.

That is the formula China's DeepSeek used to shock the world with its artificial-intelligence programs.

Conventional thinking held that developing leading AI required loads of expensive, cut-

ting-edge computer chips—and that Chinese companies would have trouble competing because they couldn't get those chips. DeepSeek defied those predictions with a resourcefulness that led to a \$1 trillion bloodbath on Wall Street and is spurring Silicon Valley to rethink its approach.

The Chinese company delivered a wake-up call to Washington, according to President Trump. His administration is set to decide in the coming months what to do about Biden-era policies limiting

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- ◆ **Trump is pressured to act on AI.....** A4
- ◆ **CEO's path to becoming an AI disruptor.....** A5
- ◆ **Wall Street reconsiders energy trade.....** A5

Nvidia's Dominance Atop AI Under Siege

By ASA FITCH

DeepSeek's dramatic rise exposes the greatest risk facing Nvidia: that the intense demand for its advanced chips could wane.

Nvidia's success as the computational arms dealer to the artificial intelligence boom has made it a target for a host of rivals seeking to diminish its dominance. That list includes other chip makers and customers who are developing their own AI chips to reduce their spending. But few in the tech world saw a nimble Chinese AI model as a risk to Nvidia's business, even if the final impact is unclear.

Nvidia has been perhaps the greatest beneficiary of the AI

boom with profit exceeding \$63 billion in the past four quarters. Its shares have surged eightfold since the end of 2022.

With excitement around DeepSeek emerging, Nvidia's shares plunged around 17% Monday. The stock stabilized on Tuesday, closing up 8.9% to \$128.99.

Nvidia cast the jolt from DeepSeek in a positive light. In a statement Monday, it said that DeepSeek's advance was an excellent illustration of new ways of operating AI models. Doing the work of

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- ◆ **James Mackintosh: New beliefs on the AI race.....** B1
- ◆ **Heard on the Street: A plus for some tech stocks.....** B13

Deported Latin Americans Accuse U.S. of 'Humiliating' Treatment

By JUAN FORERO

BOGOTÁ, Colombia—Exhausted and dirty after days of detention in the U.S., migrants began arriving here on Tuesday in their homeland's capital aboard Colombian government jets—part of what the Trump administration calls America's largest-ever mass deportation.

Many of them said they were arrested shortly after crossing the border in recent days, after journeying hundreds of miles. They were bitter about having been expelled so quickly.

"The treatment was despicable, humiliating," said Juan Sebastian Alonso, 23 years old, as he wandered Bogota's El Dorado International Airport trying to decide what he was going to do next.

The Trump administration has made it a priority to follow through on deporting criminal and illegal migrants to their homeland, as quickly and in as many flights as possible. As arrests and deportations have begun ramping up in recent days, migrants have been landing back in their home countries, sometimes

complaining of their treatment from U.S. authorities.

Mexico, Brazil, Guatemala and other countries have received deported migrants on U.S. military flights in recent days.

U.S. officials have said they are focusing their early efforts on migrants with criminal records. On Friday, President Trump said the deportations were "going very well."

"We're getting the bad, hard criminals out," Trump said. "These are murderers. These are people that have

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INSIDE



PERSONAL JOURNAL
Star employees escape return-to-work mandates, stirring office tensions. **A9**



SPORTS
Russell Westbrook is rescuing Denver—one of basketball's lowest paychecks. **A12**

Agentforce can help millions of diners find the best seat in the house. Every minute.

Agentforce What AI Was Meant to Be

